



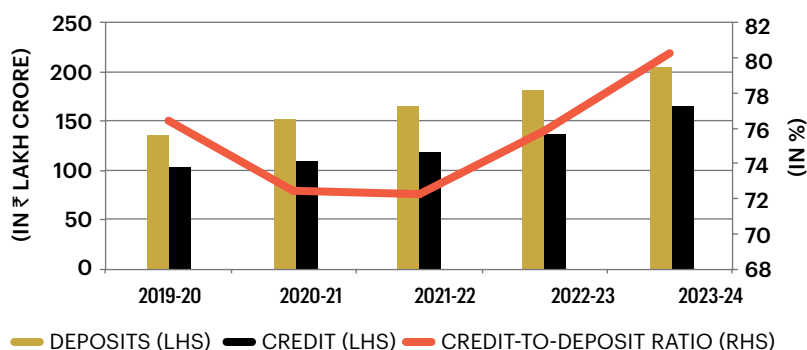
“When we see an upward interest rate regime, people tend to move their money from CASA accounts to term deposit accounts, because the arbitrage between the two increases”

SARVJIT SAMRA

MD & CEO, CAPITAL SMALL FINANCE BANK

TOO THIN A CUSHION

● The credit-deposit ratio of banks is currently hovering around 80%, the highest in 10 years



SOURCE CMIE INDUSTRY OUTLOOK

COMPRESSED NIMs

- Net interest margins (NIM) of private sector banks declined more than those of public sector banks in Q4FY24
- Overall, the NIM of all scheduled commercial banks declined by 1 basis point in Q4FY24

	Banks	Q4FY24 NIM	YoY change in bps	QoQ change in bps
	Public sector banks	2.79%	-11	3
	Private sector banks	3.67%	-33	-9

SOURCE CAREEDGE RATINGS REPORT

Several other factors also contribute to the decline in banks' NIMs. In a rising interest rate environment, deposits are re-priced more quickly, whereas changes in floating-rate loans occur at their reset periods. These adjustments do not affect fixed-rate loans. This lag between deposit repricing and loan reset has an impact on bank margins. “The impact on the loan book occurs at the reset period for floating-rate loans, while fixed-rate loans remain unchanged. As a result, the industry experienced a margin contraction last year,” explains Samra. “With most of the lending rate revisions taking place in H2 of FY24, the impact of these will be reflected in FY25. And deposit rates have more or less peaked. Thus, we believe there is a strong case for improvement in our NIM in the current fiscal,” he adds.

SAVING THE DAY

The shrinking CASA ratio has forced banks to adopt innovative measures to lower funding costs. For instance, Kotak Mahindra Bank launched Kotak ActivMoney, which offers FD-like interest rates up to 7% per year while allowing customers to access their funds anytime. With ActivMoney, surplus funds above a threshold get automatically transferred into an FD, enabling users to earn higher savings interest, while helping the bank retain its customers and save costs.

To increase its CASA ratio, SBI started advertising about its savings accounts during the recent ICC Men's T20 World Cup, marking the first such campaign in many years.

Banks are also exploring alternative sources of funding if CASA continues to decline. “Banks can issue certificates of deposit (CDs),”